

Walker Refractories, Loose-Wiles Biscuit, and United States Steel. In nearly all these cases the good-will was written off against surplus.)

Criticism may properly be voiced against the practice of a great many companies in stating only the *net* figure for their property account without showing the deduction for depreciation. Other shortcomings sometimes met are the failure to state the market value of securities owned—*e.g.*, Oppenheim Collins and Company in 1932; to identify “investments” as marketable or nonliquid—*e.g.*, Pittsburgh Plate Glass Company; to value the inventory at lower of cost or market—*e.g.*, Celanese Corporation of America in 1931; to state the nature of miscellaneous reserves—*e.g.*, Hazel-Atlas Glass Company; and to state the amount of the company’s own securities held in the treasury—*e.g.*, American Arch Company.⁶

Periodic Reports to Public Agencies. Railroads and most public utilities are required to supply information to various federal and state commissions. Since these data are generally more detailed than the statements to shareholders, they afford a useful supplementary source of material. A few practical illustrations of the value of these reports to commissions may be of interest.

For many years prior to 1927 Consolidated Gas Company of New York (now Consolidated Edison Company of New York) was a “mystery stock” in Wall Street because it supplied very little information to its stockholders. Great emphasis was laid by speculators upon the undisclosed value of its interest in its numerous subsidiary companies. However, complete operating and financial data relating to both the company and its subsidiaries were at all times available in the annual reports of the Public Service Commission of New York. The same situation pertained over a long period with respect to the Mackay Companies, controlling Postal Telegraph and Cable Corporation, which reported no details to its stockholders but considerable information to the Interstate Commerce Commission. A similar contrast exists between the unilluminating reports of Fifth Avenue Bus Securities Company to its shareholders and the complete information filed by its operating subsidiary with the New York Transit Commission.

⁶ Several of these points were involved in a protracted dispute between the New York Stock Exchange and Allied Chemical and Dye Corporation, which was terminated to the satisfaction of the Stock Exchange in 1933. But the annual reports of the company to shareholders are still inadequate in that they fail to furnish figures for sales, operating expenses, or depreciation.